

TRENDS ARE BASED ON SENTIMENTS

As per, technical analysis, the market has a sentiment for each asset. The strength of the sentiments may vary and based on these sentiments, asset prices move in trends. The trend changes when the sentiment about the asset changes.

With technical analysis, the aim is to understand the sentiment behind an asset by studying its price and volume behaviour. Hence, prices of assets move in trends – upwards or downwards, and these trends are based on the sentiments – positive or negative

